

**BEFORE THE
FEDERAL MARITIME COMMISSION**

CARLSTAR GROUP LLC f/k/a
CARLISLE TRANSPORTATION PRODUCTS, INC., and
CTP TRANSPORTATION PRODUCTS, LLC,

Complainants,

v.

Docket No. 17-08

UTi, UNITED STATES, INC.,
UTi, UNITED STATES, LLC, and
DSV AIR & SEA, INC.

Respondents.

**RESPONDENTS UTI, UNITED STATES, LLC AND DSV AIR & SEA, INC., SUCCESSORS IN
INTEREST TO UTI, UNITED STATES, INC.,’S VERIFIED ANSWER AND AFFIRMATIVE
DEFENSES TO THE VERIFIED COMPLAINT OF
CARLSTAR GROUP LLC F/K/A CARLISLE TRANSPORTATION PRODUCTS, INC. AND
CTP TRANSPORTATION PRODUCTS, LLC**

Respondents, UTi, United States, LLC and DSV Air & Sea, Inc. (“DSV”), successors in interest to UTi, United States, Inc., (“UTi”) (collectively, “Respondents”), by and through its attorneys, Venable LLP, for its answer to the Verified Complaint of Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc. and CTP Transportation Products, LLC (collectively, “Carlstar” or “Complainants”), filed on August 31, 2017, respectfully answers, alleges, and states as follows:

I. Parties

1. This paragraph relates to Complainants’ description of itself to which no response is required.
2. Denied. UTi, United States, Inc. no longer operates as a NVOCC in any jurisdictions.

3. Admit that DSV Air & Sea, Inc. is a successor-in-interest to UTi, United States, Inc. and is headquartered in Clark, NJ. Respondents deny the remaining allegations asserted in this paragraph.
4. Admitted.

II. Jurisdiction

5. This sentence repeats the above section, to which no response is required.
6. Admit that the Federal Maritime Commission has jurisdiction over this complaint. Complainants' claims under 46 U.S.C. § 41102(c) have been dismissed by the Administrative Law Judge pursuant to Respondent's Motion to Dismiss. As to the remaining allegations asserted in this Paragraph, Respondents lack knowledge or information sufficient to form a belief about the truth of the allegations, and therefore denies them.

III. Statement of Facts

7. This sentence repeats the above section, to which no response is required.
8. Admitted.
9. Admitted.
10. Pursuant to Appendix A of the Agreement between the Parties, Complainants and Respondents agreed that the rates, fees and charges charged to Complainants by Respondents would mirror the rates, fees and charges between Respondents and each ocean carrier. As to the remaining allegations asserted in this Paragraph, Respondents lack knowledge or information sufficient to form a belief about the truth of the allegations, and therefore denies them.
11. Respondents lack knowledge or information sufficient to form a belief about the truth of the allegations, and therefore deny them.
12. Admitted.

13. Admitted.

14. Admitted.

15. Admitted.

16. Admitted.

17. Admitted.

18. Admitted.

19. Admitted.

20. Admitted.

21. Admitted.

22. Admitted.

23. Respondents lack knowledge or information sufficient to form a belief about the truth of the allegations, and therefore deny them.

24. Respondents lack knowledge or information sufficient to form a belief about the truth of the allegations, and therefore deny them.

25. Respondents lack knowledge or information sufficient to form a belief about the truth of the allegations, and therefore deny them.

26. Denied.

27. Respondents cannot admit or deny the “suggestions” of Complainants’ Ocean Audit. To the extent that a response is required, the allegations are denied.

28. Respondents cannot admit or deny the “suggestions” of Complainants’ Ocean Audit. To the extent that a response is required, the allegations are denied.

29. Respondents cannot admit or deny the “suggestions” of Complainants’ Ocean Audit. To the extent that a response is required, the allegations are denied.

30. Respondents cannot admit or deny the “suggestions” of Complainants’ Ocean Audit. To the extent that a response is required, the allegations are denied.

31. Denied. Respondents have provided certain back-up documentation to Complainants proving that charges invoiced to Complainants were actually incurred by Respondents.

32. Admitted.

33. Admitted.

34. This paragraph repeats the paragraph above, to which no response is required.

IV. Violations of the Shipping Act

35. This paragraph repeats the paragraphs above, to which no response is required.

36. Complainants’ allegation that Respondents violated 46 U.S.C. § 41102(c) was dismissed pursuant to Respondents’ Motion to Dismiss.

37. The allegations asserted in this Paragraph are legal conclusions to which no response is required. To the extent that a response is required, the allegations are denied.

38. The allegations asserted in this Paragraph are legal conclusions to which no response is required. To the extent that a response is required, the allegations are denied.

V. Injury to Carlstar

39. This paragraph repeats the paragraphs above, to which no response is required.

40. Denied.

VI. Prayer for Relief

41. This paragraph repeats the paragraphs above, to which no response is required.

42. Denied, in part. Parties attempted to use the Commission’s Consumer Affairs and Dispute Resolution Services (“CADRS”) in order to negotiate a settlement September 28, 2017 and December 1, 2017.

43. Respondents deny that Complainants are entitled to any of the relief set forth in the “Wherefore” paragraph under this Section VI of the Verified Complaint.

44. Respondents do not request an oral hearing.

AFFIRMATIVE DEFENSES

Respondents assert the following affirmative defenses without assuming any burden of proof or persuasion that would otherwise remain with Complainants. Each defense is asserted to all claims against Respondents. Nothing stated herein is intended or shall be construed as an admission that any particular issue or subject matter is relevant to Complainants’ allegations. As separate and affirmative defenses, Respondents allege as follows:

FIRST AFFIRMATIVE DEFENSE

Complainants have failed to state a claim against DSV for which relief can be granted.

SECOND AFFIRMATIVE DEFENSE

Complainants have suffered no actual damage as a result of the alleged Shipping Act violations by Respondents.

THIRD AFFIRMATIVE DEFENSE

Complainants’ claims are barred, in whole or in part, by failure to mitigate alleged damages.

FOURTH AFFIRMATIVE DEFENSE

Any damages that Complainants have allegedly suffered have resulted, in whole or in part, from the Complainants own conduct and omissions.

FIFTH AFFIRMATIVE DEFENSE

Any damages that Complainants have allegedly suffered should be offset by the amount of benefit the Complainants received from Respondents for Respondents’ ocean transportation services and due to Respondents’ undercharging of ocean freight and accessorial.

SIXTH AFFIRMATIVE DEFENSE

Complainants' allegations are barred by the doctrine of unclean hands.

SEVENTH AFFIRMATIVE DEFENSE

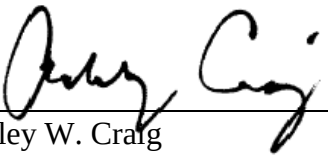
Complainants' claims that accrued prior to December 20, 2013 are time-barred pursuant to 46 U.S.C. § 41301.

EIGHTH AFFIRMATIVE DEFENSE

In addition to the foregoing defenses, Respondents retain the right to amend this Answer to raise additional affirmative and other defenses as those defenses become known during litigation.

Dated: May 29, 2018

Respectfully submitted,

By:  _____

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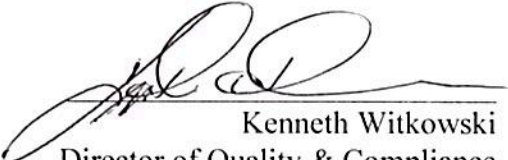
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*Counsel for Respondents, UTi, United States, LLC and
DSV Air & Sea, Inc.*

VERIFICATION

The undersigned declares and certifies under the penalty of perjury that the foregoing statements are true and correct.



Kenneth Witkowski
Director of Quality & Compliance
DSV Air & Sea Inc.

CERTIFICATE OF SERVICE

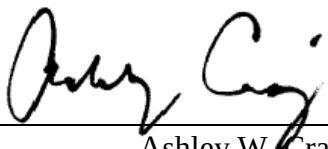
I hereby certify that I have this day served the foregoing document upon all parties noted below by mailing via electronic mail a copy to each such person:

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Counsel for Complainant

Dated at Washington, D.C. this 29 day of May 2018.



Ashley W. Craig
Counsel for Respondents